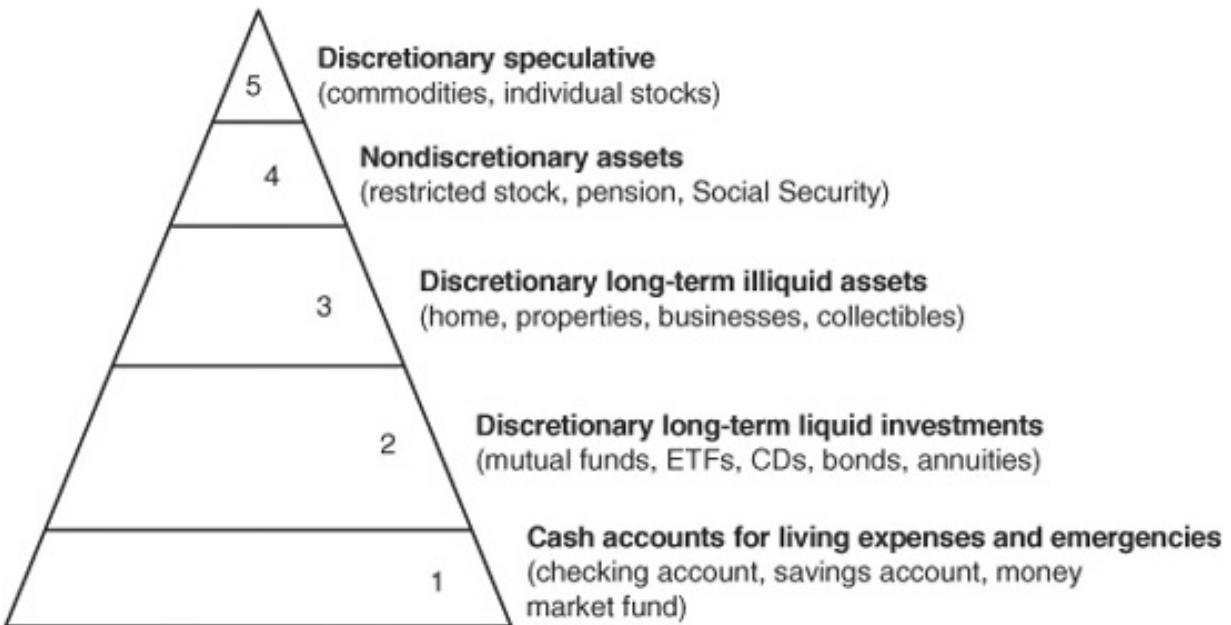


stock and stock options, and any claim you have on employer pensions, Social Security, and an annuity income.

[Figure 1-1](#) is an investment pyramid that divides investment into five parts. The pyramid is used to classify assets and illustrate differences in liquidity and discretion that you may or may not have with those assets.

FIGURE 1-1

The Investment Pyramid



Here are brief descriptions of the five levels:

1. Level one is the base of the pyramid. It is characterized by highly liquid cash and cash types of investments that are used for living expenses and emergencies. This money is typically in checking accounts, savings accounts, and money market funds. This cash is not part of your long-term investment allocation, and you should not be overly concerned that your rate of return is low. The amount to keep in cash varies with your circumstances. I recommend 3 to 4 months in cash if you are single, 6 to 12 months in cash if you have a family, and 24 months when you retire.
2. Level two covers liquid, long-term investments. These are discretionary investments, meaning that you choose how to invest this money. The choices for investments typically include mutual